FPT Corporation Equity Research Update

Clock B live underwriting after the 2026 reporting-basis change

Research item	Clock B snapshot
Company	FPT Corporation
Ticker	HOSE FPT
Valuation date	9 October 2026
Market price	VND 57,900
Blended fair value	VND 94,498
Upside	63.2%
Mechanical rating	BUY
Risk label	HIGH

Decision

Open or retain a measured position only if the mandate accepts high cash-conversion risk. The valuation gap is material, but the next increase in exposure should require FY2026 evidence that the H1 working-capital outflow reverses.

Important

This is independent portfolio research based on public information. It is not investment advice, a solicitation, or a broker recommendation.

Investment conclusion

Clock B produces a blended fair value of VND 94,498 per share, 63.2% above the observed VND 57,900 price. The primary SOTP value is VND 97,511; a 2027E P/E cross-check gives VND 89,978. The valuation supports a mechanical BUY, while the live evidence supports only measured sizing because cash conversion is red.

Market	SOTP	P/E	Blended	Monitor
VND 57,900	VND 97,511	VND 89,978	VND 94,498	AMBER

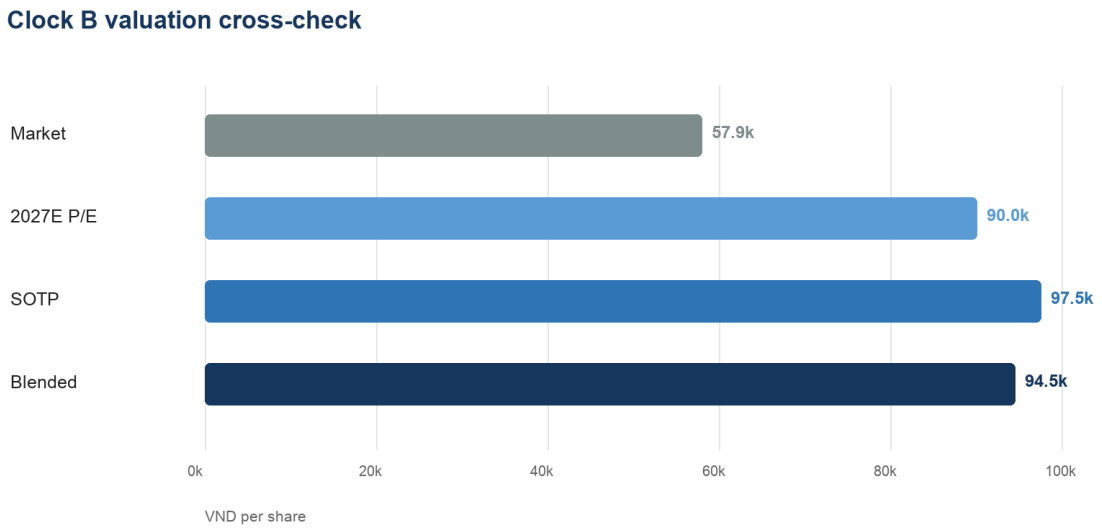


Figure 1 Market price and Clock B valuation methods

Why the market may be too pessimistic

- The market trades at approximately 10.9x trailing earnings while 8M2026 revenue and profit before tax grew 13.5% and 17.5%.
- H1 new signed revenue grew 32.3%; Japan revenue grew 24.4%; AI and data-analytics revenue grew 54%.
- The Base cross-check uses 15.0x 2027E earnings rather than requiring a return to Clock A's higher comparable multiple.

Why position size should remain measured

- H1 operating cash flow was negative VND1,145.7bn against parent net profit of VND5,055.0bn.
- The FY2025 post mortem already identified capex and working capital as the largest FCFF forecast errors.
- The change to equity-method accounting reduces comparability and raises the risk of misreading group growth and cash flow.

What changed from Clock A

Clock A valued the fully consolidated group at 31 October 2025. From 1 January 2026, FPT Telecom moved to the equity method following the governance change. Parent net profit and EPS were not affected by presentation, but group revenue, EBIT, cash flow, assets, debt and non-controlling interests became structurally non-comparable.

Item	Clock A	Clock B response
Reporting perimeter	FPT Telecom fully consolidated	Continuing operations plus associate line
Primary valuation	Whole-group FCFF DCF	Operating DCF plus capitalised associate earnings
Share count	Pre-2026 reference basis	1,885.7m post-bonus shares
WACC	10.2%	10.9% Base
Starting margin	Old consolidated basis	14.8% H1 anchor
Cross-check	2025 peer snapshot	15.0x 2027E analyst multiple

Clock B valuation architecture

Step	Calculation	Double-count control
1	DCF continuing-operation FCFF	Excludes equity-accounted associates
2	Capitalise 2027E associate profit	Do not add associate book value
3	Add cash and short-term investments	Use 30 June 2026 reported balances
4	Subtract debt and NCI	Use balances on the same reporting date
5	Divide by post-bonus shares	Avoid stale per-share denominators

Interpretation boundary

Clock A and Clock B target values are not a clean price-target bridge because the reporting perimeter, market date, share count, WACC and forecast evidence changed simultaneously. The professionally defensible comparison is between research decisions and assumptions, not a single unexplained target-price delta.

Current evidence and operating forecast

Evidence	Reading	Status	Model implication
8M revenue growth	+13.5%	GREEN	Supports 2026 revenue anchor
8M PBT growth	+17.5%	GREEN	Earnings outpace revenue
H1 EBIT margin	14.8%	GREEN	Sets conservative starting margin
H1 signed revenue	+32.3%	GREEN	Supports forward visibility
Japan revenue	+24.4%	GREEN	Leading market remains strong
AI and data analytics	+54.0%	GREEN	Potential mix improvement
H1 OCF / parent PAT	−22.7%	RED	Main thesis-confirmation risk

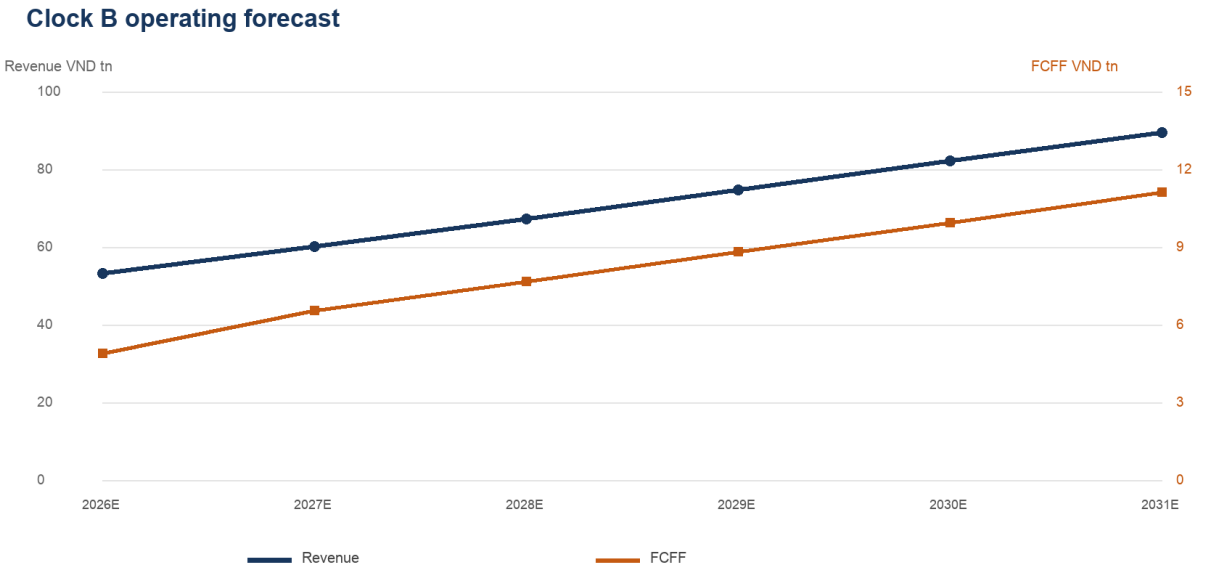


Figure 2 Base revenue and FCFF path

Metric	2026E	2027E	2028E	2029E	2030E	2031E
Revenue VND bn	53,112	60,017	67,219	74,613	82,074	89,460
EBIT margin	14.8%	15.1%	15.5%	15.8%	16.1%	16.3%
FCFF VND bn	4,893	6,549	7,666	8,811	9,942	11,121
EPS VND	5,287	5,999	6,769	7,535	8,314	9,048

Base-case underwriting

The forecast is driver-based and deliberately explicit about the cash-flow assumptions most likely to fail. Revenue decelerates, margin recovers gradually, and reinvestment normalises only after the 2026 working-capital shock.

Driver	2026E	2031E	Underwriting logic
Revenue growth	13.5%	9.0%	8M actual anchor then gradual fade
EBIT margin	14.8%	16.3%	Recovery below an abrupt snapback
D&A / revenue	3.2%	3.0%	Broadly stable asset intensity
Capex / revenue	5.2%	4.5%	Normalises after growth investment
NWC / incremental revenue	15.0%	5.0%	Front-loads current cash risk
Associate profit growth	—	6.0%	10% in 2027, then fades

Forecast logic

- 2026E revenue annualises official 8M revenue of VND35.4tn; 2026E margin uses H1 gross profit less selling and administration expense.
- FCFF equals EBIT after normalised tax plus D&A, less capex and change in working capital.
- Associate and JV profit is forecast separately, then capitalised in the SOTP; it is not included in operating FCFF.
- Parent earnings include operating EBIT, associate profit and net financial income, then apply an 88% parent PAT-to-PBT conversion.

Variant view versus market expectations

Question	Market reference	Clock B variant
Growth	Price decline implies sharper slowdown	Double-digit growth persists near term
Multiple	10.9x trailing P/E	15.0x on 2027E EPS if evidence holds
Cash	Market may discount earnings quality	No re-rating without FY2026 cash reversal
Accounting	New basis may obscure trend	Separate associate economics explicitly

Key analytical judgment

The thesis does not require heroic top-line growth or a return to Clock A's multiple. It does require cash conversion to recover. That makes FY2026 working capital the pivotal evidence item, not a secondary modelling detail.

Sum-of-parts valuation

Component	VND bn	Treatment
PV explicit FCFF	32,745.8	2027E–2031E mid-year
PV terminal value	97,914.3	31 December 2031 terminal
Operating enterprise value	130,660.2	Continuing operations
Capitalised associate earnings	43,840.7	14.0x 2027E profit
Cash	8,843.2	Add
Short-term investments	20,128.4	Add
Debt	(18,449.5)	Subtract
Non-controlling interests	(1,144.2)	Subtract
Equity value	183,878.6	Result
SOTP per share	97,511	1,885.7m shares

Cost of capital

Input	Base	Comment
Risk-free rate	4.58%	Vietnam 10-year yield
Equity risk premium	8.35%	Clock A comparable assumption
Levered beta	0.90x	FPT-specific assumption
Pre-tax cost of debt	4.25%	H1 annualised interest / debt
WACC	10.89%	Market-value weights
Terminal growth	4.00%	Below nominal long-run growth

Cross-check and weighting

The P/E cross-check applies 15.0x to 2027E EPS of VND 5,999, producing VND 89,978. The decision value weights SOTP at 60% and P/E at 40%, producing VND 94,498. The weighting prevents either terminal-value duration or a single earnings multiple from dominating the conclusion.

Scenario range and monitoring rules

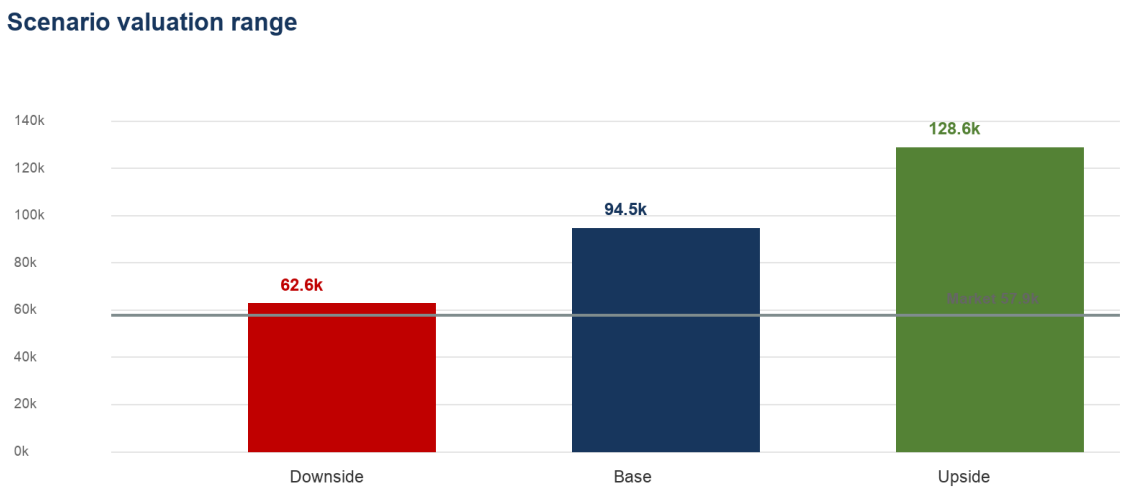


Figure 3 Blended value across operating and valuation scenarios

Case	WACC	g	Associate P/E	Cross-check P/E	Blended value
Downside	11.89%	3.0%	11.0x	12.0x	VND 62,635
Base	10.89%	4.0%	14.0x	15.0x	VND 94,498
Upside	10.14%	4.5%	17.0x	18.0x	VND 128,650

Live monitor

Indicator	Actual	Green	Red	Status
8M revenue growth	13.5%	>=13.0%	<10.0%	GREEN
8M PBT growth	17.5%	>=17.0%	<12.0%	GREEN
H1 EBIT margin	14.8%	>=14.7%	<14.0%	GREEN
H1 OCF / parent PAT	−22.7%	>=70.0%	<30.0%	RED
H1 capex / revenue	5.1%	<=5.5%	>6.5%	GREEN
Accounting basis	Equity method	Reconciled	Unreconciled	AMBER

Escalation rules

- Keep Base while revenue growth, EBIT margin and signed revenue remain at or above green thresholds.
- Re-underwrite if revenue growth falls below 10%, EBIT margin falls below 14%, or capex exceeds 6.5% of revenue.
- Reduce or exit if two or more live indicators are red or if refreshed blended value loses its required margin of safety.
- Do not add to the position before FY2026 operating cash flow shows a substantial second-half reversal.

Risks, next evidence and source basis

Risk	Transmission	Evidence	Model response
Cash conversion	FCFF below earnings	OCF, receivables, payables	Raise NWC intensity
Margin execution	Lower NOPAT and EPS	Segment margins and utilization	Cut recovery path
Demand	Lower revenue CAGR	Signed revenue conversion	Reduce growth
Capital intensity	Lower near-term FCFF	Maintenance vs growth capex	Raise capex ratio
Accounting basis	False trend comparisons	Common-basis disclosure	Maintain SOTP separation
Valuation duration	Sensitivity to WACC and g	Terminal-value share	Require wider margin of safety

Evidence required next

- FY2026 operating cash flow and the receivables, payables and deferred-expense bridge.
- FY2026 capex split between maintenance and growth projects.
- FPT Telecom revenue and profit contribution under the equity method.
- Conversion of H1 signed revenue into recognised Global IT revenue.
- Margin progression in Japan, domestic IT and AI-related work.

Primary sources

FPT information disclosures https://fpt.com/en/ir/information-disclosures

FPT H1 2026 results https://fpt.com/vi/tin-tuc/6-thang-dau-nam-2026-loi-nhuan-truoc-thue-cua-fpt-tang-truong-18-1

FPT 8M2026 operating update https://fpt.com/en/news/minister-of-science-and-technology-trust-and-credibility-have-driven-fpt-s-success-in-japan

Vietnam 10-year yield history https://www.investing.com/rates-bonds/vietnam-10-year-bond-yield-historical-data

Market snapshot https://taichinh.com/chung-khoan/fpt

Analyst statement

The valuation is a point-in-time analytical output, not a promise of realised value. Public facts, model assumptions and decision rules are separated throughout the workbook and reproducible Python implementation. Clock A remains frozen for backtest integrity; Clock B is the current view as of 9 October 2026.